

US PRE-MARKET BRIEFING -- FRIDAY, MAY 29, 2026

Generated ~04:15 ET / 15:15 BKK | Sources: Yahoo Finance, FRED, CME, ECB, Reuters

1. EXECUTIVE SUMMARY

US equity futures are mixed heading into Friday's session, with the S&P 500 futures essentially flat at 7,580.75 (-0.01%) while Nasdaq futures lag (-0.15%) and Dow futures edge up (+0.03%). The VIX has pulled back to 15.74, near its recent lows, suggesting complacency rather than panic. Treasury yields dropped across the curve Thursday -- the 10Y fell 6bps to 4.50% and the 2Y plunged 12bps to 4.01% as traders priced in softer growth. WTI crude is hovering near \$89 on persistent Strait of Hormuz supply risks. Today picks up where Thursday left off: ISM Services, PCE and wholesale inventories wrap up a data-heavy week, and the market will close the book on April inflation data at a time when the Fed's next move is increasingly uncertain.

2. MARKET SNAPSHOT

Equities & Volatility

Asset	Level	Change
S&P 500 Futures	7,580.75	-1.00 (-0.01%)
Dow Futures	50,762.00	+16.00 (+0.03%)
Nasdaq Futures	30,260.25	-46.75 (-0.15%)
Russell 2000 Futures	2,936.30	-5.50 (-0.19%)
VIX	15.74	-0.55 (-3.38%)

Fixed Income

Benchmark	Yield	Change
10Y Treasury	4.50%	-6 bps
2Y Treasury	4.01%	-12 bps
30Y Treasury	5.03%	-4 bps
10Y-2Y Spread	+0.49 pp	Steepened +6 bps

Commodities

Commodity	Price	Change
WTI Crude Oil	~89.30	+0.72%
Brent Crude Oil	91.67	-1.03%
Gold	4,526.90	-5.50 (-0.12%)
Copper	~6.31/lb	+3.93% (1M)

Currencies & Crypto

Pair / Asset	Level	Change
DXY (US Dollar)	~98.50	Consolidating
EUR/USD	1.1617	+0.2%
USD/JPY	~159.18	+0.14%
Bitcoin	73,280.54	+0.21%

NOTE: Data dates vary by source. Some figures are as of 5/26 or 5/28 close. Futures from Yahoo Finance delayed.

3. KEY THEMES

* YIELDS PLUNGE ON GROWTH FEARS -- The Bond Market Is Talking

Treasury yields fell sharply across the curve Thursday, with the 2Y dropping 12bps to 4.01% -- the biggest move on the curve. This 'bull steepening' (short end falling faster than long end) signals the market is pricing in weaker growth and earlier Fed easing. The 10Y-2Y spread has re-steepened to +49bps. This is NOT a recession signal per se, but it IS the bond market saying that the soft GDP print (Q1 revised down to 1.6% annual, with some estimates as low as 0.4% quarterly) is forcing a re-think of the 'no cuts in 2026' narrative.

* CORE PCE AT 3.3% -- Sticky Inflation Complicates the Fed's Path

Thursday's April core PCE came in at 3.3% YoY, exactly as expected. Headline PCE rose 0.4% MoM vs March's 0.7%. While the MoM deceleration is welcome, 3.3% core is still well above the Fed's 2% target. CME FedWatch shows ~70% probability of a hold at June 16-17, ~28% chance of a cut. The base case is 'higher for even longer.'

* IRAN WAR & STRAIT OF HORMUZ -- The Conflict That Won't Fully Resolve

The US-Iran ceasefire remains fragile. Iran's IRGC maintains de facto control of the Strait of Hormuz. The US Navy has been conducting escort operations to reopen shipping lanes. Most maritime traffic through the Strait has been halted or severely

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disrupted since February. WTI crude at \$89 embeds a 'Hormuz risk premium' of perhaps \$15-20/barrel. Further escalation could spike oil to \$100+, a direct shock to inflation expectations.

* NVIDIA EARNINGS -- AI Euphoria Cooling Into Discipline

Nvidia's earnings (reported May 21) beat estimates but the stock fell post-earnings, suggesting the bar had been set impossibly high. The 'AI trade' is now selectively rotating: memory stocks (Micron, SK Hynix) are rallying on HBM demand, while Nvidia itself faces concerns about export restrictions and China demand. The Nasdaq underperformance in pre-market (-0.15%) is a small tell.

* THE DOLLAR IS STUCK IN NO MAN'S LAND

The DXY has been consolidating around the 98.0-98.50 range, caught between safe-haven demand from the Iran war (pulling it up) and rate-cut expectations (pushing it down). EUR/USD at 1.1617 is relatively stable. USD/JPY at ~159 suggests the BoJ is in no hurry to intervene again. The dollar's direction will likely be determined by the June FOMC meeting outcome.

* ISM SERVICES -- The Last Big Data Point Before June FOMC

Today's ISM Services PMI (May data) is one of the last major data points before the June 16-17 FOMC meeting. The services sector has been the economy's growth engine, and any significant softening would accelerate rate-cut expectations. Analysts will watch the prices-paid sub-index closely. Regional Fed data has shown prices-paid averaging 54.9, and PPI final demand is already at 6.0% YoY -- the inflation pipeline is NOT clean.

* CONSUMER SENTIMENT REMAINS DEPRESSED

The University of Michigan's consumer sentiment index started 2026 at historically low levels (~54). Existing home sales fell 1.9% in April to their worst level since 2009, with inventory surging 21% YoY. Mortgage rates near 7% continue the 'golden handcuffs' effect. Weak housing + weak sentiment + tight credit = a consumer spending slowdown that hasn't fully shown up in the data yet but is coming.

4. WHAT TO WATCH TODAY -- FRIDAY, MAY 29, 2026

Time (ET)	Time (BKK)	Event / Release
08:30	19:30	Personal Income & Spending (Apr)
08:30	19:30	GDP Price Index - 2nd Est. (Q1)
09:45	20:45	Chicago PMI (May)
10:00	21:00	ISM Services PMI (May)
10:00	21:00	Wholesale Inventories (Apr)

NOTE: Friday is options expiry for many equity derivatives -- expect elevated volume and potential volatility spikes in the last hour ('quad witching' effect on select names). VIX at 15.74 is near its lowest levels; low vol environments breed complacency risk.

5. THE HARD TRUTH -- DAMODARAN LENS

!! The market is priced for a soft landing that is NOT in the data.

The S&P 500 is trading near all-time highs. The VIX is at 15.74, near its lowest levels of the year. And yet: Q1 GDP growth has been revised DOWN to 1.6% (annualized), core inflation is stuck at 3.3% (well above target), the consumer is depressed, housing is in the worst shape since 2009, and there is an active war constraining 20% of global oil transit. Where, exactly, is the 'soft landing' priced into equities?

!! The bond market knows something the stock market won't admit.

The 2Y Treasury dropping 12bps in a single session is not noise. It is a sharp, deliberate repositioning by the deepest-pocketed players in global finance. They are betting on growth deterioration. If they are right, equities have a reckoning coming -- earnings estimates for H2 2026 will need to be cut, and the multiple will compress. The bull steepening of the yield curve has historically been a LEADING indicator of Fed cuts, and Fed cuts have historically been a LEADING indicator of recession.

!! The Fed is in a box, and June 17th is too far away.

With core PCE at 3.3%, the Fed cannot credibly cut rates without looking like they've abandoned their inflation mandate. But with growth decelerating and the labor market showing cracks (jobless claims ticking up to 215K), holding rates at 3.50-3.75% risks overtightening. The DISCONNECT between what bonds are saying (cut) and what inflation data says (can't cut) is a powder keg for volatility.

!! Opportunity cost of sitting in 'compliant' allocations.

If you are 100% long equities and riding the AI wave, ask yourself: what is your downside protection if the Hormuz situation escalates, if oil spikes to \$100+, or if June FOMC delivers a hawkish hold? Cash is yielding 3.68% (3-month T-bill). Short-duration bonds are paying 4%+ with minimal duration risk. The risk-adjusted return of the front end of the Treasury curve is genuinely competitive with equities at these valuations -- and you have dry powder for when the correction comes.

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!! This is not a time for conviction. This is a time for optionality.

6. WEEKLY ECONOMIC CALENDAR -- MAY 26-30, 2026

Day	Release	Actual	Forecast
Mon 25	Memorial Day -- MARKETS CLOSED	-	-
Tue 26	FHFA Home Price Index (Mar)	-	-
	S&P Case-Shiller HPI (Mar)	-	-
	Consumer Confidence (May)	-	-
	Dallas Fed Mfg Survey (May)	-	-
Wed 27	Durable Goods Orders (Apr)	+7.9%%	+3.5%%
	Dur. ex-Transport (Apr)	-	+0.4%%
	Jobless Claims (to May 23)	215K	210K
	Pending Home Sales (Apr)	-	-
Thu 28	GDP - 2nd Estimate (Q1)	1.6%%	2.0%%
	Core PCE Price (Apr YoY)	3.3%%	3.3%%
	Core PCE Price (Apr MoM)	-	+0.2%%
	Continuing Claims	-	-
Fri 29	Personal Income & Spending (Apr)	-	-
	GDP Price Index - 2nd Est. (Q1)	-	-
	Chicago PMI (May)	-	-
	ISM Services PMI (May)	-	-
	Wholesale Inventories (Apr)	-	-

NEXT WEEK PREVIEW (June 2-6, 2026)

Day	Release	Impact
Mon Jun 1	ISM Manufacturing PMI (May)	HIGH
	Construction Spending (Apr)	Med
Tue Jun 2	JOLTS Job Openings (Apr)	HIGH
	Factory Orders (Apr)	Med
Wed Jun 3	ADP Employment (May)	Med
Fri Jun 6	Non-Farm Payrolls (May)	CRITICAL
	Unemployment Rate (May)	CRITICAL
	Average Hourly Earnings (May)	HIGH

Sources: Yahoo Finance, FRED/St. Louis Fed, PrimeRates, Trading Economics, CME FedWatch, ECB, Investing.com, ExchangeRates.org, FXStreet, Reuters, BBC, CNBC, Kitco, Kraken Economic Brief. Data as of close 5/28/2026 where noted.